

COMMITTEE ON LEGISLATIVE RESEARCH
OVERSIGHT DIVISION

FISCAL NOTE

L.R. No.: 5598H.07C
Bill No.: HCS for SS for SCS for SB 878
Subject: Drugs and Controlled Substances; Pharmacy
Type: Original
Date: May 1, 2026

Bill Summary: This proposal modifies provisions relating to pharmaceutical drugs and devices.

FISCAL SUMMARY

ESTIMATED NET EFFECT ON GENERAL REVENUE FUND

FUND AFFECTED	FY 2027	FY 2028	FY 2029
Total Estimated Net Effect on General Revenue	\$0	\$0	\$0

ESTIMATED NET EFFECT ON OTHER STATE FUNDS

FUND AFFECTED	FY 2027	FY 2028	FY 2029
State Road Fund (1320)	\$0 to (Unknown, could exceed \$250,000)	\$0 to (Unknown, could exceed \$250,000)	\$0 to (Unknown, could exceed \$250,000)
Total Estimated Net Effect on <u>Other</u> State Funds	\$0 to (Unknown, could exceed \$250,000)	\$0 to (Unknown, could exceed \$250,000)	\$0 to (Unknown, could exceed \$250,000)

Numbers within parentheses: () indicate costs or losses.

ESTIMATED NET EFFECT ON FEDERAL FUNDS

FUND AFFECTED	FY 2027	FY 2028	FY 2029
Total Estimated Net Effect on <u>All</u> Federal Funds	\$0	\$0	\$0

ESTIMATED NET EFFECT ON FULL TIME EQUIVALENT (FTE)

FUND AFFECTED	FY 2027	FY 2028	FY 2029
Total Estimated Net Effect on FTE	0	0	0

- ☒ Estimated Net Effect (expenditures or reduced revenues) expected to exceed \$250,000 in any of the three fiscal years after implementation of the act or at full implementation of the act.
- ☐ Estimated Net Effect (savings or increased revenues) expected to exceed \$250,000 in any of the three fiscal years after implementation of the act or at full implementation of the act.

ESTIMATED NET EFFECT ON LOCAL FUNDS

FUND AFFECTED	FY 2027	FY 2028	FY 2029
Local Government	\$0 to (Unknown)	\$0 to (Unknown)	\$0 to (Unknown)

FISCAL ANALYSIS

ASSUMPTION

§376.417 - 340B Drugs

Officials from the **Department of Commerce and Insurance (DCI)** state the purpose of the proposed legislation is to define, for the section, the following terms: “340B drug,” “covered entity,” “health carrier,” “pharmacy,” and “pharmacy benefits manager.” The proposed legislation prohibits a health carrier, a pharmacy benefits manager, or an agent or affiliate of such health carrier or pharmacy benefits manager from discriminating against a covered entity. Statutory examples of discrimination include:

- 1) reimbursing a covered entity for a quantity of a 340B drug in an amount less than it would pay any other similarly situated pharmacy or entity that is not a covered entity for such quantity of such drug on the basis that the covered entity is a covered entity or that the covered entity dispenses 340B drugs;
- 2) imposing any terms or conditions on covered entities that differ from such terms or conditions applied to other similarly situated entities or pharmacies that are not covered entities on the basis that the covered entity is a covered entity or that the covered entity dispenses 340B drugs;
- 3) discriminating in reimbursement to a covered entity based on the determination or indication a drug is a 340B drug;
- 4) requiring a covered entity to identify, either directly or through a third party, a 340B drug;
- 5) refusing to cover drugs purchased under the 340B drug pricing program; or
- 6) requiring a covered entity to reverse, resubmit, or clarify a 340B drug-pricing claim after the initial adjudication. The Director of DCI is authorized to impose a fine of up to \$5000 per violation per day for any violation of the section and is authorized to promulgate rules necessary to implement the section.

The department believes the costs of this bill can be absorbed within our current appropriations. However, should the cost exceed the anticipated amount, the department would request an increase to our FTE and/or appropriations as appropriate through the budget process.

Oversight assumes DCI is provided with core funding to handle a certain amount of activity each year. Oversight assumes DCI could absorb the costs related to this proposal. If multiple bills pass which require additional staffing and duties at substantial costs, DCI could request funding through the appropriation process. Officials from the DCI assume the proposal will have no fiscal impact on their organization.

Officials from the **Missouri Department of Transportation (MoDOT) - Missouri Highway Patrol (MHP)** stated the requirements regarding 340B drugs in this section would directly increase costs on the MoDOT-MSHP medical plan. This would be an unknown impact to the State Road Fund.

Since it is unknown if this proposal will result in a cost to the medical plan that could pass on to members, **Oversight** will range the fiscal impact as \$0 to Unknown, greater than \$250,000 to the State Road Fund (1320). Oversight assumes this proposal could have a fiscal impact on local political subdivisions.

Oversight notes provisions of §376.417.3 imposes a civil penalty on any health carrier, pharmacy benefits manager, or agent or affiliate of such health carrier or pharmacy benefits manager that violates provisions of this subsection. The penalty may not exceed \$5,000 per day. Oversight notes that violations resulting in fines could vary widely from year to year. Civil penalties collected per Article IX, Section 7 of the Missouri Constitution requires fines to be distributed to the school district where the violation occurred; therefore, Oversight will reflect a positive fiscal impact of \$0 to Unknown to local school districts on the fiscal note.

Bill as a whole:

Officials from the **Department of Health and Senior Services, Missouri Department of Conservation, Missouri Consolidated Health Care Plan, St. Louis County Police Department**, assume the proposal will have no fiscal impact on their organization. **Oversight** does not have any information to the contrary. Therefore, Oversight will reflect a zero impact in the fiscal note for this agency.

In response to a previous version, officials from the **Department of Social Services** assumed the proposal will have no fiscal impact on their respective organizations. **Oversight** does not have any information to the contrary. Therefore, Oversight will reflect a zero impact in the fiscal note for these agencies.

Officials from the **Branson Police Department** assume the proposal will have a fiscal impact on their organization but did not provide any additional information.

In response to a similar proposal from this year (HB 1962), officials from the **Department of Elementary and Secondary Education, Office of the State Courts Administrator, Office of the State Public Defender, Phelps County Sheriff's Department, and Kansas City Police Department** and each assume the proposal will have no fiscal impact on their respective organizations.

Oversight notes that the above-mentioned agencies have stated the proposal would not have a direct fiscal impact on their organization. Oversight does not have any information to the contrary. Therefore, Oversight will reflect a zero impact on the fiscal note.

In response to similar legislation, HB 1036 (2025), officials from the **Missouri Office of Prosecution Services** assumed the proposal would have no fiscal impact on their organization. **Oversight** does not have any information to the contrary. Therefore, Oversight will reflect a zero impact in the fiscal note for this agency.

Rule Promulgation

Officials from the **Joint Committee on Administrative Rules** assumed this proposal is not anticipated to cause a fiscal impact beyond its current appropriation.

In response to a previous version, officials from the **Office of the Secretary of State (SOS)** noted many bills considered by the General Assembly include provisions allowing or requiring agencies to submit rules and regulations to implement the act. The SOS is provided with core funding to handle a certain amount of normal activity resulting from each year's legislative session. The fiscal impact for this fiscal note to the SOS for Administrative Rules is less than \$5,000. The SOS recognizes that this is a small amount and does not expect that additional funding would be required to meet these costs. However, the SOS also recognizes that many such bills may be passed by the General Assembly in a given year and that collectively the costs may be in excess of what the office can sustain with its core budget. Therefore, the SOS reserves the right to request funding for the cost of supporting administrative rules requirements should the need arise based on a review of the finally approved bills signed by the governor.

<u>FISCAL IMPACT – State Government</u>	FY 2027 (10 Mo.)	FY 2028	FY 2029
STATE ROAD FUND (1320)			
<u>Cost – MoDOT (\$376.417) Enrollee's cost sharing p.6</u>	\$0 to (Unknown, could exceed <u>\$250,000</u>)	\$0 to (Unknown, could exceed <u>\$250,000</u>)	\$0 to (Unknown, could exceed <u>\$250,000</u>)
ESTIMATED NET EFFECT TO THE STATE ROAD FUND	\$0 to (Unknown, could exceed <u>\$250,000</u>)	\$0 to (Unknown, could exceed <u>\$250,000</u>)	\$0 to (Unknown, could exceed <u>\$250,000</u>)

<u>FISCAL IMPACT – Local Government</u>	FY 2027 (10 Mo.)	FY 2028	FY 2029
LOCAL POLITICAL SUBDIVISIONS			
<u>Revenue gain</u> – School Districts (§376.417.3) Fines from violations p.6	\$0 to Unknown	\$0 to Unknown	\$0 to Unknown
<u>Cost</u> – Medical Plans (§376.417) Enrollee’s cost sharing p.6	\$0 to (Unknown)*	\$0 to (Unknown)*	\$0 to (Unknown)*
ESTIMATED NET EFFECT ON LOCAL POLITICAL SUBDIVISOINS	\$0 to (Unknown)*	\$0 to (Unknown)*	\$0 to (Unknown)*

***Oversight** assumes this proposal could result in a cost to the MoDOT-MSHP and local medical plans that could potentially be passed on to members.

FISCAL IMPACT – Small Business

A direct fiscal impact to pharmacists could be expected as a result of this proposal.

FISCAL DESCRIPTION

This proposal modifies provisions relating to pharmaceutical drugs and devices.

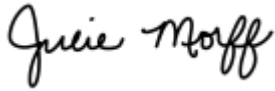
This legislation is not federally mandated, would not duplicate any other program and would not require additional capital improvements or rental space.

SOURCES OF INFORMATION

Department of Commerce and Insurance
 Department of Health and Senior Services
 Department of Social Services
 Missouri Department of Transportation
 Missouri Department of Conservation
 Missouri Consolidated Health Care Plan
 Office of the Secretary of State
 Joint Committee on Administrative Rules
 Department of Elementary and Secondary Education
 Office of the State Courts Administrator
 Missouri Office of Prosecution Services
 Branson Police Department
 St. Louis Police Department

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Kansas City Police Department

A handwritten signature in cursive script that reads "Julie Morff".

Julie Morff
Director
May 1, 2026

A handwritten signature in cursive script that reads "Jessica Harris".

Jessica Harris
Assistant Director
May 1, 2026